

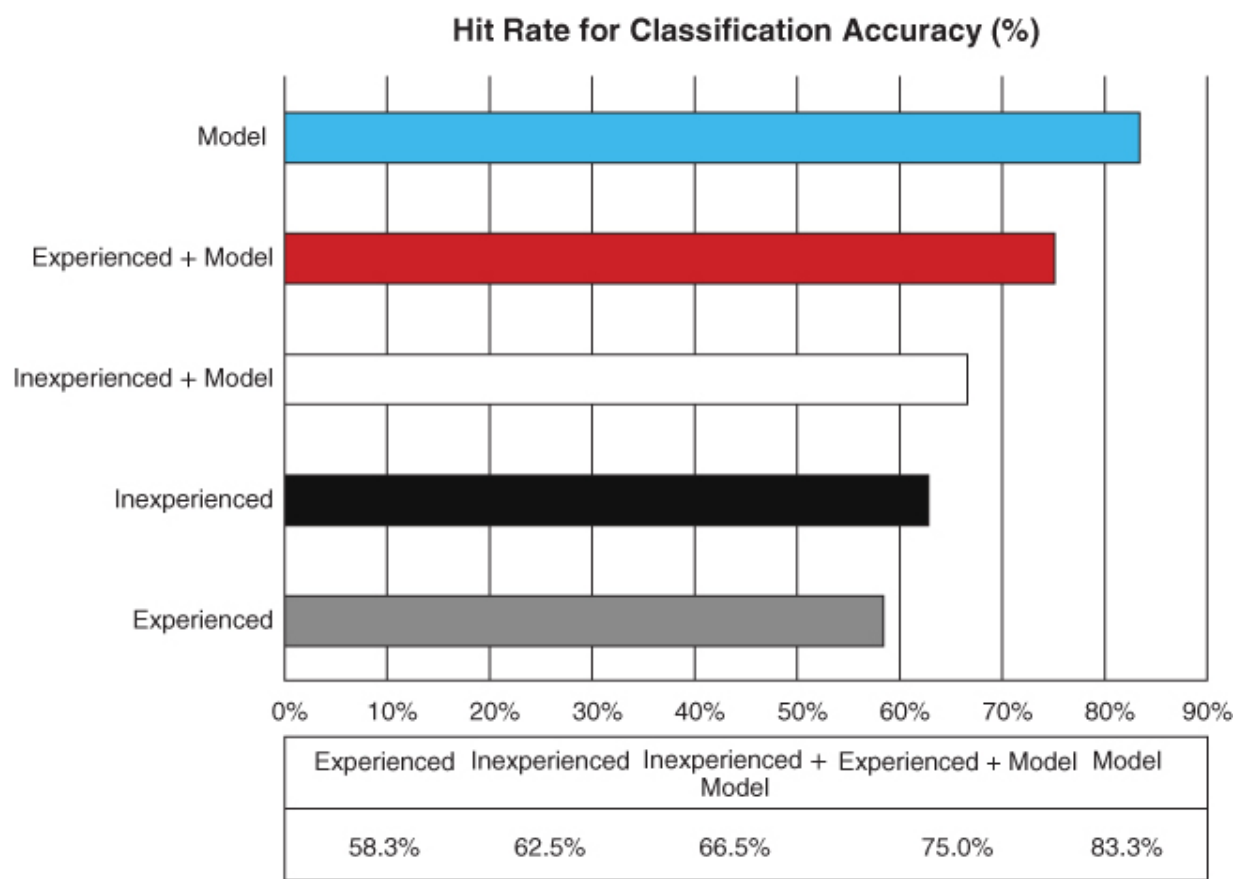


Figure 2.3 Hit Rate for Classification Accuracy (%)

But Investing Is Different, Right?

But surely these results should not apply to the world of investing, where things must be different. Many investors think money managers are a special breed of human, and that a human financial expert, armed with a model, can generate outsized returns in financial markets—or in other words, financial models do not represent a ceiling on performance, but are a performance floor to which a human manager can add value. Carson Boneck, global head of investment management for S&P Capital IQ, captures this sentiment in a May 2013 interview: “We think quantamental is going to be a big theme driving our client portfolios and our own product strategy.”⁷

Quantamental seeks to unite man and model, using the best of both. Mr. Boneck tells a great story: A discretionary stock-picking expert armed with a powerful model may create a powerful combination. But investment